CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E18749237
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
CONFIDENTIAL - SUBJECT TO PROTECTIVE ORDER

From: Michael Tribolet <michael.tribolet@enron.com>
Sent: Mon, 30 Apr 2001 12:10:00 -0700 (PDT)
To: Elizabeth Sager <elizabeth.sager@enron.com>, Lisa Mellencamp <lisa.mellencamp@enron.com>
Subject: FW: PG&E and Enron Stand-Still Agreement

fyi

-----Original Message-----
From: "Witalis, Lawrence (Law)" <LCW4@pge.com>@ENRON
[mailto:IMCEANOTES-+22Witalis+2C+20Lawrence+20+28Law+29+22+20+3CLCW4+40pge+2Ecom+3E+40ENRON@ENRON.com]
Sent: Monday, April 30, 2001 5:38 PM
To: Tribolet, Michael
Subject: RE: PG&E and Enron Stand-Still Agreement

Thanks, Michael. By the way, can you confirm for me that Elizabeth's draft really captures Enron's version of what we "agreed to" at our meeting? It looks off to us, and I wonder if it does to you, also. I don't mean to go around Elizabeth in asking this; just curious.

From: Michael.Tribolet@enron.com[SMTP:Michael.Tribolet@enron.com]
Sent: Monday, April 30, 2001 3:27 PM
To: LCW4@pge.com
Subject: RE: PG&E and Enron Stand-Still Agreement

I pasted the letter below:

Enron Power Marketing, Inc.
1400 Smith Street
Houston, Texas 77002

VIA FACSIMILE

_____, 2001

Pacific Gas & Electric Company
77 Beale Street
San Francisco, CA

Attention: [and Lawrence C. Witalis]

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Re: Contract Termination Payment Calculation Discussions

Dear Sirs:

As you know, pursuant to its rights under the Master Power Purchase Agreement between Enron Power Marketing, Inc. ("EPMI") and Pacific Gas & Electric Company ("PG&E) (collectively, the "Parties"), dated October 9, 2000 (the "MPA"), EPMI elected to terminate the 3 power transactions thereunder as a result of the bankruptcy filing made by PG&E on April 6, 2001. Such notice of termination was delivered to PG&E on April 9, 2001. Additional contract terminations either became effective automatically as a result of PG&E's bankruptcy filing under the terms of the particular contract or were elected by certain affiliates of EPMI, namely Enron Canada Corp. ("ECC") and Enron North America Corp. ("ENA"), as provided in the relevant termination notices furnished by ECC and ENA to PG&E. EPMI, ECC and ENA are referred to collectively herein, as appropriate, as "Enron," and the various contracts and/or transactions thereunder between PG&E and Enron that were terminated are referred to as the "Contracts."

Pursuant to such contract terminations, Enron provided written notice to PG&E, as reflected in a letter dated April 24, 2001 (including all applicable supporting materials and calculations), of the applicable termination payment calculations due and owing to Enron or PG&E, as the case may be, under the Contracts. Under each of the Contracts, once the non-defaulting party, in this case Enron, furnishes the calculations of the termination payments, the defaulting party, in this case PG&E, is obligated to notify the non-defaulting party within a specified time frame

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whether it disagrees with the non-defaulting party's termination value calculations. For example, under Section 5.5 of the MPA, PG&E (as the defaulting party due to its bankruptcy) is obligated to furnish EPMI within 2 business days of receipt of EPMI's calculations a detailed explanation of any dispute it may have with Enron's termination payment calculations. The other Contracts provide for different time periods by which the defaulting party must respond to the non-defaulting party's calculations.

At our meeting on April 25, 2001, we agreed to extend the time period by which PG&E must provide notice to Enron of its dispute, if any, with the termination calculations furnished by Enron under any of the Contracts (a "Dispute Notice") in order to permit further discussions between the Parties (the "Settlement Discussions") concerning (1) the methodology and/or procedures employed by Enron to make such calculations and the supporting material therefor and (2) a possible settlement between the Parties with respect to the amount and nature of the Parties' claims under the Contracts and the treatment thereof on an aggregate basis. In order to provide the Parties with sufficient time to negotiate a possible resolution, the date by which PG&E shall be required to furnish any Dispute Notice shall be extended to [May 25, 2001] (the "Initial Extension Period"), or such later date as may be agreed by the Parties, including any extension as may be effective during the period that any settlement agreement that may be executed by the Parties in connection herewith ("Settlement Agreement") may be under consideration by the Bankruptcy Court.

During the Initial Extension Period, Enron agrees to maintain in full force and effect for the benefit of PG&E all five letters of credit with respect to its obligations under the MPA (including the letters of credit from Banca di Roma, in the amount of $7,000,000; from Banca Commerciale Italiana, in the amount of $5,750,000; from Bayerische Hypo-und Vereinsbank AG, in the amount of $30,000,000; and from Banca Nazionale del Lavorno, in the amounts of $44,000,000 and $13,500,000, respectively), subject to the rights of EPMI to replace or provide substitutes for such letters of credit, to assure payment by Enron of the termination payment, if any, due from it to PG&E under the MPA. In the event that the Settlement Discussions have not resulted in the execution of a Settlement Agreement by [May 15, 2001], but the Parties are continuing to negotiate in good faith with respect thereto, Enron agrees to extend for a period of no less than __ days any letter of credit that shall be due to expire within __ days after the end of the Initial Extension Period and Enron shall promptly provide PG&E with confirmation of such extension. In the event that the Parties successfully conclude a Settlement Agreement and such agreement is submitted to the Bankruptcy Court for approval, the Parties anticipate that (1) such Settlement Agreement will include a provision requiring the maintenance of letters of credit by Enron during the period